

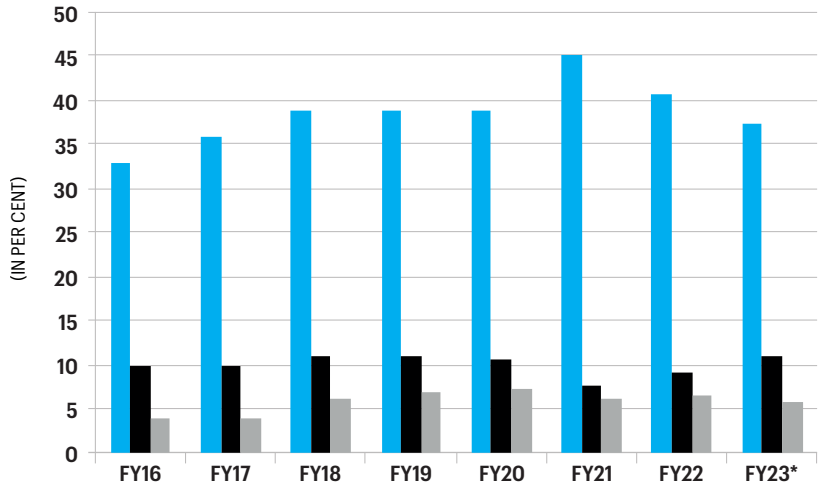
it is like a chicken-and-egg situation. The jury is still out on whether the introduction of more products would attract more investors or whether the influx of investors will lead to the introduction of more products.

But there is no doubt that in the next 25 years, the investor base of the country would have jumped exponentially.

It is much easier said than done though as all stakeholders—the government and capital markets regulator Securities and Exchange Board of India (Sebi), along with all categories of market participants—will have to get some of the basics right as only the right foundation will make the capital markets strong enough to witness the next level of exponential growth.

RETAIL LEADS THE WAY

The participation of retail investors hit a peak in FY21, before moderating slightly in recent times



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*AS OF DECEMBER 2022; FIGURES ARE SHARE IN TOTAL TURNOVER ON NSE SOURCE NSE

140 | THE NUMBER OF stock market investors, especially retail, is not just a number for any country. It also reflects the strength of the economy as an increasing quantum of household savings makes its way to the liquid, transparent, formal and well-regulated segment of investing.

Take for example the growth of the investor base in the US between the 1980s and the 2000s as the world's largest economy attained greater size and nearly half of its population entered the arena of financial investments.

"Patterns rhyme across the globe. As the US went from a \$3-trillion to a \$10-trillion economy, the participation of investments moved from 3 per cent of the population to 50 per cent. The number of demat accounts went up tremendously," says Amit Jeswani, Founder, Stallion Asset, a Sebi-registered portfolio management services (PMS) firm. "We expect the same pattern to rhyme in India," he adds.

70 million

NUMBER OF DEMAT ACCOUNTS OPENED SINCE APRIL 2020, AS PER SEBI DATA

Incidentally, the current tally of 100 million demat accounts in India does not mean that 100 million Indians are investing in the stock markets; the number does not reflect the unique number of investors—an individual might have multiple demat accounts across different broking firms. Demat or a dematerialised account is an account required to hold the shares in an electronic format and can be opened through any stockbroker. The two depositories—National Securities Depository Limited (NSDL) and the Central Depository Services Limited (CDSL)—

maintain these accounts.

What is to note is that the number of demat accounts is a function of stock market performance as well, which the last couple of years have proved aptly. As the market regulator notes in a recent bulletin: "...incremental additions of demat accounts have been on a declining trend for the past few months... The driving factor behind this declining trend is the market volatility seen on account of various global factors during the current year. Mediocre activity in the IPO market relative to the previous year might also have